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CHAPTER

Financial Management

MEANING OF BUSINESS FINANCE

Business finance refers to the money required to carry out business activities. It plays a crucial role in acquiring, utilizing, and managing funds for the smooth functioning and growth of a business.

Need for Business Finance

1. **Day-to-Day Operations:** *For purchasing raw materials, paying salaries, and managing routine expenses.*
2. **Growth and Expansion:** *To increase production, enter new markets, and launch new products.*
3. **Asset Acquisition:** *For buying machinery, land, buildings, and patents.*



FINANCIAL MANAGEMENT

Definition

Financial management involves managing the flow of funds and making decisions regarding the acquisition and application of funds in short-term and long-term assets. It focuses on two key aspects: Procurement and usage of funds.



Role of Financial Management

Financial management significantly influences a business's financial health, as reflected in financial statements like the ***Balance Sheet*** *and* ***Profit and Loss Account.*** *Key areas impacted by financial management include:*

1. ***Fixed Assets:*** *Determines the size and composition through capital budgeting (e.g., investing ₹80 crores in fixed assets).*
2. ***Current Assets:*** *Manages the quantum and allocation of current assets, including cash, inventory, and receivables.*
3. ***Finance Mix:*** *Decides the balance between long-term and short-term finance. While long-term finance ensures liquidity, it can reduce profitability due to higher costs.*
4. ***Debt-Equity Ratio:*** *Fixes the optimal ratio between debt and equity in long-term financing.*
5. ***Profit & Loss Items:*** *Impacts expenses like interest (from debts) and dividends (from equity).*

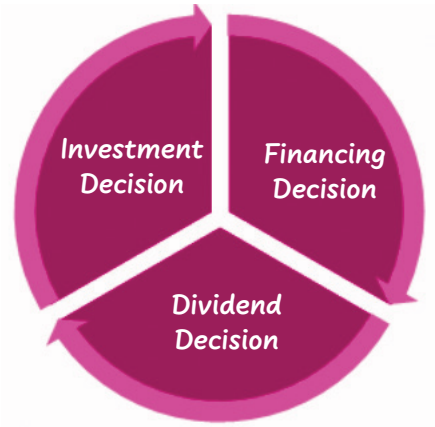
Objectives of Financial Management

The primary objective is to ***maximize shareholder wealth*** *by increasing the market price of equity shares. All financial decisions are aligned with this goal to maximize equity share value and create long-term growth.*

FINANCIAL DECISIONS

Financial decisions involve managing an organization's finances, particularly the allocation of funds to various assets. They aim to select the best solutions to financial problems to maximize profits.

Types of Financial Decisions



1. **Investment Decision:** *Choosing where to invest funds to generate maximum returns.*
2. **Financing Decision:** *Determining the best sources of finance (debt or equity) and their mix.*
3. **Dividend Decision:** *Deciding the portion of profitsto be distributed as dividends versus retaining for reinvestment.*

INVESTMENT DECISION

Definition



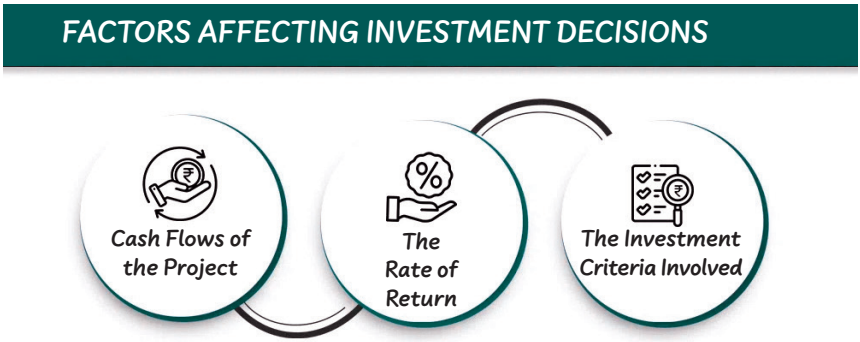
Investment decisions involve allocating a firm's resources to achieve the highest possible return on investment. These decisions are categorized into:

1. **Long-Term Decisions (Capital Budgeting Decisions):** *Decisions about acquiring fixed assets, opening new branches, or replacing equipment, which affect a firm's earning capacity and profitability over the long run.*
2. **Short-Term Decisions (Working Capital Decisions):** *Decisions related to managing cash, inventory, and receivables, essential for the business's daily operations and liquidity.*

Importance of Investment Decision

1. **Long Term Growth:** *Funds invested bring in return in long-term thus impacting the future prospects and growth of the company*
2. **Large Amount of Funds Involved:** *Involves large amount of funds as they are invested in fixed assets*
3. **Risk Involved:** *As huge funds are involved for long term*
4. **Irreversible Decision:** *Capital budgeting decisions cannot be reversed or changed overnight.*

Factors Affecting Investment Decisions (ICR)



1. **Cash Flow of the Project:** *Proper evaluation of projected cash inflows and outflows over the investment's lifespan.*
2. **Rate of Return:** *Selection of projects based on the expected returns, with preference for those offering higher profits for the same level of risk.*
3. **Investment Criteria:** *Includes evaluating elements like investment amount, interest rate, cash flows, and returns using capital budgeting techniques before selecting a project.*

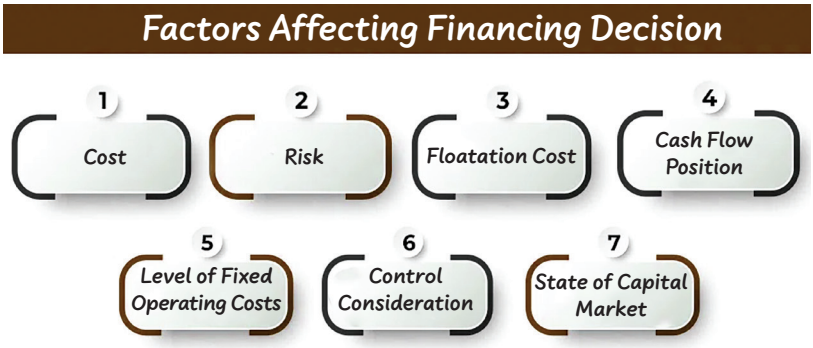
FINANCING DECISION

Financing decisions determine the amount and sources of long-term funds required for a business. These decisions analyze various sources of finance (e.g., equity and debt) and evaluate their associated costs and risks.



Factors Affecting Financing Decision (C3RF - SF)

1. **Cost:** *Financing managers prefer the source with the lowest cost of raising funds.*
2. **Risk:** *Debt has higher financial risk due to fixed commitments, whereas equity carries lower risk.*
3. **Floatation Cost:** *Costs associated with issuing securities (e.g., underwriting fees, stamp duty) influence the decision.*
4. **Cash Flow Position:** *Firms with strong cash flow can manage debt better due to their ability to meet interest and principal payments.*
5. **Fixed Operating Costs:** *Firms with high operating costs prefer equity to avoid additional fixed obligations, whereas firms with low costs may opt for debt.*
6. **Control Considerations:** *Equity financing may dilute ownership control, whereas debt financing does not affect control.*
7. **State of Capital Market:** *A bullish market makes equity financing easier, while a bearish market favors debt.*



DIVIDEND DECISION

The dividend decision determines how much **profit to distribute** *to shareholders and how much to retain for reinvestment. The goal is to maximize shareholder wealth.*

DIVIDEND DECISION



Factors Affecting Dividend Decision

Factors Affecting Dividend Decision



1. **Earnings:** *More earnings lead to higher dividends.*
2. **Stability of Earnings:** *Stable earnings allow higher dividends.*
3. **Stability of Dividend:** *Companies prefer consistent dividends to maintain shareholder trust.*
4. **Growth Opportunities:** *Firms with growth prospects retain more earnings and pay lower dividends.*
5. **Cash Flow:** *Sufficient cash enables higher dividends.*
6. **Taxation:** *Higher the taxes, lower the dividends and vice versa.*
7. **Stock Market Reaction:** *Higher dividends can boost share prices, while lower dividends may hurt stock value.*
8. **Access to Capital Market:** *If the company has easy access to capital market, they will declare higher dividends and vice versa*
9. **Legal Restrictions:** *Companies have to follows legal acts like SEBI, Companies Act etc. while declaring dividends*
10. **Contractual Restrictions:** *In case company has any such contracts while taking long term debt, it needs to be followed*
11. **Preference of Shareholders:** *Requirements of the shareholders is to be considered while declaring dividends*

FINANCIAL PLANNING



Financial planning ensures a business has the right amount of funds at the right time, avoiding shortages or excess. It focuses on forecasting financial needs, optimizing investments, and supporting smooth operations to maximize shareholder wealth.

Objectives of Financial Planning

1. **Ensure Availability of Funds:** *To ensure sufficient funds are available for various needs, like purchasing assets and covering day-to-day expenses.*
2. **Avoid Unnecessary Fundraising:** *To prevent raising excess funds, as surplus capital should be invested wisely to avoid losses.*

Importance of Financial Planning

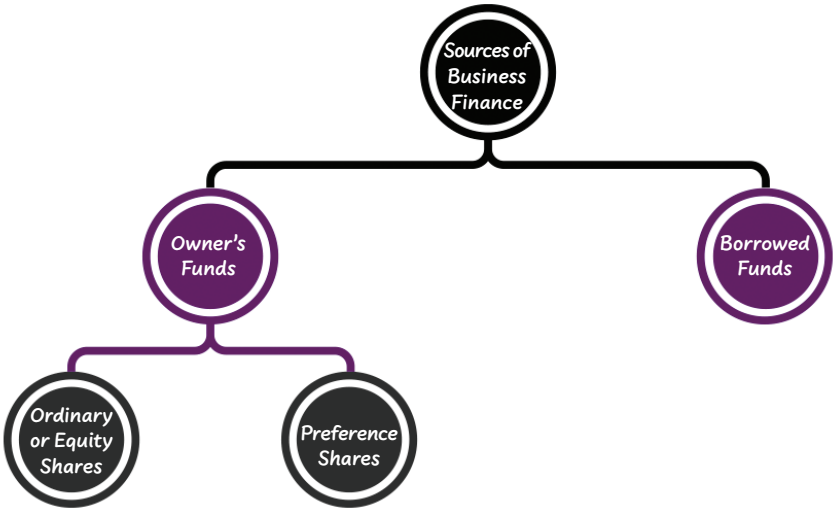
1. **Prepares for Future Challenges:** *Helps forecast and plan for future business situations.*
2. **Avoids Business Shocks:** *Prevents surprises by preparing for different scenarios.*
3. **Coordinates Functions:** *Aligns various functions (e.g., production, sales) with clear policies.*
4. **Proper Utilization of Finance:** *Reduces waste and ensures efficient use of resources.*
5. **Acts as a Link:** *Connects present operations with future projections like sales and growth.*
6. **Evaluates Performance:** *Helps assess actual performance against planned objectives.*
7. **Link between Investment and Financing Decisions:** *It provides as a link between Investment and Financing decisions*

CAPITAL STRUCTURE

Capital structure decisions involve selecting the types of securities to issue and their proportions. It defines the mix of debt and equity used to finance business operations.

According to J.J. Hampton, "Capital structure is the combination of debt and equity securities that comprise a firm's financing of its assets."

Sources of Business Finance



Based on ownership, business finance is classified into two categories:

1. **Owner's Funds (Equity):** *Includes retained earnings, preference share capital, and equity share capital.*
2. **Borrowed Funds (Debt):** *Includes bank deposits, loans, and debentures, borrowed from banks, financial institutions, debenture holders, or the public.*

FINANCIAL LEVERAGE

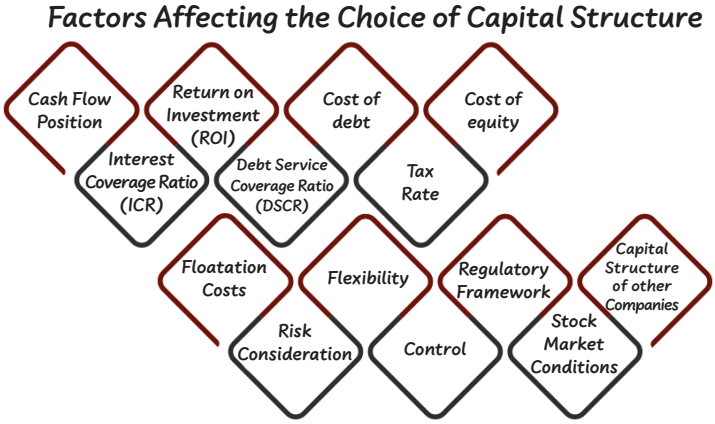
Financial leverage refers to the proportion of debt in a company's capital structure. It is calculated as:

Financial Leverage = Debt / Equity

It increases the return on equity (earning per share) by using debt, as debt has a lower cost compared to equity. This is because:

- *The cost of debt is lower than equity due to lower lender risk.*
- *Interest on debt is tax-deductible, unlike dividends, which are paid from after-tax profits.*

Factors Affecting Capital Structure ($DISC^5 - RRR - F^2T$)



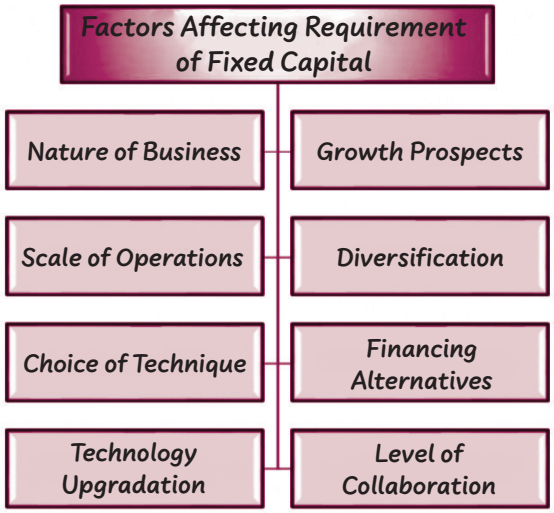
1. **Cash Flow Position:** *Determines how much debt can be used based on the firm's ability to generate sufficient cash to meet obligations.*
2. **Interest Coverage Ratio (ICR):** *Measures the firm's ability to meet interest obligations. Higher ICR allows for more debt and vice versa.*
3. **Return on Investment (ROI):** *If ROI > cost of debt, debt is preferred. If ROI < cost of debt, equity should be preferred.*
4. **Debt Service Coverage Ratio (DSCR):** *It measures the firm's ability to pay principal amount as well as the interest. Higher DSCR means the company can add more debt and vice versa.*
5. **Cost of Debt:** *The company will prefer debt if it is available at a reasonable rate.*
6. **Tax Rate:** *High tax rates encourage debt financing, as interest on debt is tax-deductible.*
7. **Cost of Equity:** *More debt raises the cost of equity. Debt should be used carefully as excessive use increases financial risk.*
8. **Floatation Costs:** *Issuing shares or debentures incurs additional costs. Loans are often cheaper than issuing equity or debt securities.*
9. **Risk Consideration:** *Financial risk and business risk influence capital structure. Companies with higher business risk should rely less on debt.*
10. **Flexibility:** *Excessive debt reduces the firm's borrowing capacity, making it harder to adapt to future needs.*
11. **Control:** *Using debt maintains control, while issuing equity can dilute control.*
12. **Regulatory Framework:** *Legal and regulatory constraints (like SEBI guidelines) affect the capital structure decisions.*
13. **Stock Market Conditions:** *Boom conditions favor equity financing, while recession conditions push for debt financing.*
14. **Capital Structure of Other Companies:** *Companies may follow industry norms but should be cautious about copying others' structures.*

FIXED CAPITAL

It refers to long-term investments in assets like land, machinery, and buildings used for business operations, not meant for resale.

Factors Affecting the Requirement of Fixed Capital

1. **Nature of Business:** *Manufacturing companies need more fixed capital than trading companies because of the need for machinery and equipment.*
2. **Scale of Operation:** *Larger companies require more fixed capital due to higher machinery and asset requirements.*
3. **Technique of Production:** *Capital-intensive techniques demand more fixed capital, while labor-intensive methods require less.*
4. **Growth Prospects:** *Expanding companies need more fixed capital for increased production capacity.*
5. **Technology Upgradation:** *Fast-changing industries require more fixed capital to replace obsolete equipment.*
6. **Diversification:** *Companies diversifying their business need more fixed capital for additional assets.*
7. **Level of Collaboration/Joint Ventures:** *Collaboration may reduce the need for fixed capital due to shared assets.*
8. **Availability of Finance and Leasing:** *Easy access to finance and leasing reduces the need for large fixed capital investments.*

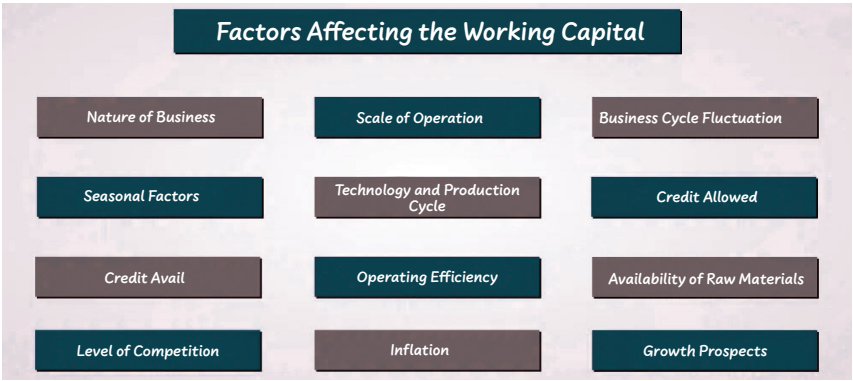


WORKING CAPITAL

Working Capital is the difference between current assets and current liabilities, representing the funds needed for day-to-day operations.

1. **Gross Working Capital:** *Investment in current assets like cash, inventory, and receivables.*
2. **Net Working Capital:** *Excess of current assets over current liabilities, indicating liquidity position.*

Factors Affecting Working Capital



1. **Nature of Business:** *Manufacturing companies need more working capital due to longer operating cycles.*
2. **Scale of Operation:** *Larger firms require more working capital to manage higher inventories and debtors.*
3. **Business Cycle Fluctuations:** *Boom periods increase working capital requirements, while recessions reduce it.*
4. **Seasonal Factors:** *Seasonal businesses need more working capital during peak seasons.*
5. **Technology and Production Cycle:** *Capital-intensive techniques require less working capital.*
6. **Credit Allowed:** *Liberal credit policies increase working capital needs.*
7. **Credit Avail:** *Longer credit terms from suppliers reduce the need for working capital.*
8. **Operating Efficiency:** *More efficient operations lower working capital requirements.*
9. **Availability of Raw Materials:** *Easy access to raw materials reduces the need for large inventories and working capital.*
10. **Level of Competition:** *More competition requires higher working capital due to liberal credit policies and larger inventories.*
11. **Inflation:** *Rising prices increase working capital needs, though businesses can adjust prices to manage it.*
12. **Growth Prospects:** *Expanding companies need more working capital for increased production and inventory.*